

ACCOUNTING MATTERS

CRITICAL ACCOUNTING ESTIMATES

In the preparation of our financial statements we follow established accounting policies and make estimates that affect both the amounts and timing of the recording of assets, liabilities, revenues and expenses. We base our judgments and estimates on historical experience and assumptions we believe are appropriate and reasonable under current circumstances. Actual results, however, could differ materially from the estimated amounts we have recorded. Some of these estimates require judgments about matters that are inherently uncertain. Accounting policies whose application involve a significant level of estimation uncertainty and may have a material effect on our results of operations or financial condition are considered critical accounting estimates.

DISCOUNT RATES FOR PENSION AND POST-EMPLOYMENT BENEFIT PLANS

Discount rates are used to estimate the net present value of our pension and other post-employment plan obligations. These rates are determined at the measurement date by matching current spot rates of high-quality corporate bonds with maturities similar to the timing of expected cash outflows for benefits. The selection of discount rates requires judgment as well as the involvement of actuarial specialists. These specialists assist with selecting yield curves based on published indices for high-quality corporate bonds and projecting the timing and amount of cash flows associated with our obligations to ultimately support our determination of an appropriate discount rate for each plan.

Our discount rates as of December 31, 2025 are:

- 5.3 percent for our U.S. pension plans — compared with 5.7 percent at December 31, 2024;
- 5.0 percent for our U.S. post-employment benefit plans — compared with 5.5 percent at December 31, 2024;
- 4.9 percent for our Canadian pension plans — compared with 4.7 percent at December 31, 2024 and
- 4.6 percent for our Canadian post-employment benefit plans — compared with 4.5 percent at December 31, 2024.

Pension expenses for 2026 will be based on the 5.3 percent and 4.9 percent assumed discount rates for the U.S. pension plans and the Canadian pension plans, respectively, and the 5.0 percent and 4.6 percent assumed discount rates for the U.S. and Canadian post-employment benefit plans, respectively.

Our discount rates are important in determining the cost of our plans. A 50 basis point decrease in our discount rate would increase expense or reduce a credit by approximately:

- \$8 million for our U.S. qualified pension plans and
- \$2 million for our Canadian registered pension plans.

Details about our other significant accounting policies are in *Note 1: Summary of Significant Accounting Policies*.

PROSPECTIVE ACCOUNTING PRONOUNCEMENTS

A summary of prospective accounting pronouncements is in *Note 1: Summary of Significant Accounting Policies*.

PERFORMANCE AND LIQUIDITY MEASURES

We use Adjusted EBITDA as a key performance measure to evaluate the performance of the consolidated company and our business segments. This measure should not be considered in isolation from, and is not intended to represent an alternative to, our results reported in accordance with U.S. generally accepted accounting principles (U.S. GAAP). However, we believe Adjusted EBITDA provides meaningful supplemental information for our investors about our operating performance, better facilitates period to period comparisons and is widely used by analysts, lenders, rating agencies and other interested parties. Our definition of Adjusted EBITDA may be different from similarly titled measures reported by other companies. Adjusted EBITDA, as we define it, is operating income adjusted for depreciation, depletion, amortization, basis of real estate sold and special items.

Adjusted EBITDA by Segment

DOLLAR AMOUNTS IN MILLIONS		
	2025	2024
Timberlands	\$ 581	\$ 539
Real Estate & ENR	411	349
Wood Products	250	661
Unallocated Items	(221)	(257)
Total	\$ 1,021	\$ 1,292

We reconcile Adjusted EBITDA to net earnings for the consolidated company and to operating income (loss) for the business segments, as those are the most directly comparable U.S. GAAP measures for each.

The table below reconciles Adjusted EBITDA by segment to net earnings for the year ended December 31, 2025:

DOLLAR AMOUNTS IN MILLIONS					
	TIMBERLANDS	REAL ESTATE & ENR	WOOD PRODUCTS	UNALLOCATED ITEMS	TOTAL
Net earnings					\$ 324
Interest expense, net of capitalized interest					273
Income taxes					(64)
Net contribution (charge) to earnings	\$ 586	\$ 315	\$ 55	\$ (423)	\$ 533
Non-operating pension and other post-employment benefit costs ⁽¹⁾	—	—	—	220	220
Interest income and other	—	—	—	(22)	(22)
Operating income (loss)	586	315	55	(225)	731
Depreciation, depletion and amortization	261	12	224	12	509
Basis of real estate sold	—	84	—	—	84
Special items included in operating income (loss) ⁽²⁾⁽³⁾⁽⁴⁾	(266)	—	(29)	(8)	(303)
Adjusted EBITDA	\$ 581	\$ 411	\$ 250	\$ (221)	\$ 1,021
⁽¹⁾ Non-operating pension and other post-employment benefit costs includes a pretax special item consisting of a \$145 million noncash settlement charge related to the transfer of pension plan assets and liabilities to an insurance company through the purchase of a group annuity contract. ⁽²⁾ Operating income (loss) for Timberlands includes pretax special items consisting of a \$117 million gain on the sale of Georgia and Alabama timberlands and a \$149 million gain on the sale of Oregon timberlands. ⁽³⁾ Operating income (loss) for Wood Products includes a pretax special item consisting of a \$29 million gain on the sale of our Princeton lumber mill. ⁽⁴⁾ Operating income (loss) for Unallocated Items includes pretax special items consisting of an \$18 million noncash environmental remediation charge and a \$26 million insurance recovery.					

The table below reconciles Adjusted EBITDA by segment to net earnings for the year ended December 31, 2024:

DOLLAR AMOUNTS IN MILLIONS					
	TIMBERLANDS	REAL ESTATE & ENR	WOOD PRODUCTS	UNALLOCATED ITEMS	TOTAL
Net earnings					\$ 396
Interest expense, net of capitalized interest					269
Income taxes					31
Net contribution (charge) to earnings	\$ 280	\$ 216	\$ 457	\$ (257)	\$ 696
Non-operating pension and other post-employment benefit costs	—	—	—	42	42
Interest income and other	(1)	—	—	(52)	(53)
Operating income (loss)	279	216	457	(267)	685
Depreciation, depletion and amortization	260	13	219	10	502
Basis of real estate sold	—	120	—	—	120
Special items included in operating income (loss) ⁽¹⁾	—	—	(15)	—	(15)
Adjusted EBITDA	\$ 539	\$ 349	\$ 661	\$ (257)	\$ 1,292
⁽¹⁾ Operating income (loss) for Wood Products includes pretax special items consisting of a \$25 million product remediation recovery and a \$10 million noncash impairment charge related to the indefinite curtailment of our New Bern lumber mill.					

Net Earnings and Net Earnings per Diluted Share Before Special Items (Income Tax Affected)

We reconcile net earnings before special items to net earnings and net earnings per diluted share before special items to net earnings per diluted share, as those are the most directly comparable U.S. GAAP measures. We believe the measures provide meaningful supplemental information for investors about our operating performance, better facilitate period to period comparisons, and are widely used by analysts, lenders, rating agencies and other interested parties.

The table below reconciles net earnings before special items to net earnings:

DOLLAR AMOUNTS IN MILLIONS		
	2025	2024
Net earnings	\$ 324	\$ 396
Environmental remediation charge	14	—
Gain on sale of lumber mill	(21)	—
Gain on sale of timberlands	(266)	—
Insurance recovery	(19)	—
Pension settlement charge	111	—
Product remediation recovery	—	(19)
Restructuring, impairments and other charges	—	7
Net earnings before special items	\$ 143	\$ 384

The table below reconciles net earnings per diluted share before special items to net earnings per diluted share:

AMOUNTS PER SHARE		
	2025	2024
Net earnings per diluted share	\$ 0.45	\$ 0.54
Environmental remediation charge	0.02	—
Gain on sale of lumber mill	(0.03)	—
Gain on sale of timberlands	(0.36)	—
Insurance recovery	(0.03)	—
Pension settlement charge	0.15	—
Product remediation recovery	—	(0.02)
Restructuring, impairments and other charges	—	0.01
Net earnings per diluted share before special items	\$ 0.20	\$ 0.53

Adjusted FAD

We use Adjusted Funds Available for Distribution (Adjusted FAD) to evaluate the company's liquidity and measure cash generated during the period (net of capital expenditures and significant nonrecurring items) that is available for dividends, repurchases of common shares, debt reduction, acquisitions, and other discretionary and nondiscretionary capital allocation activities. Adjusted FAD should not be considered in isolation from, and is not intended to represent an alternative to, results reported in accordance with U.S. GAAP. However, we believe the measure provides meaningful supplemental information for our investors about our liquidity. Adjusted FAD, as we define it, is net cash from operations adjusted for capital expenditures and significant non-recurring items. Our definition of Adjusted FAD may be different from similarly titled measures reported by other companies, including those in our industry. We reconcile Adjusted FAD to net cash from operations, as that is the most directly comparable U.S. GAAP measure.

The table below reconciles Adjusted FAD to net cash from operations:

DOLLAR AMOUNTS IN MILLIONS		
	2025	2024
Net cash from operations	\$ 562	\$ 1,008
Capital expenditures	(474)	(416)
FAD	\$ 88	\$ 592
Cash from product remediation recovery	—	(25)
Cash contribution to our U.S. qualified pension plan	200	—
Monticello engineered wood products facility capital expenditures	109	—
Adjusted FAD	\$ 397	\$ 567
Net cash from investing activities	\$ (475)	\$ (636)
Net cash from financing activities	\$ (290)	\$ (852)

QUANTITATIVE AND QUALITATIVE DISCLOSURES ABOUT MARKET RISK

LONG-TERM DEBT OBLIGATIONS

The following summary of our long-term debt obligations includes:

- scheduled principal repayments for the next five years and after;
- weighted average interest rates for debt maturing in each of the next five years and after and
- estimated fair values of outstanding obligations.

We estimate the fair value of long-term debt based on quoted market prices we receive for the same types and issues of our debt or on the discounted value of the future cash flows using market yields for the same type and comparable issues of debt. Changes in market rates of interest affect the fair value of our fixed-rate debt.

SUMMARY OF LONG-TERM DEBT OBLIGATIONS AS OF DECEMBER 31, 2025

DOLLAR AMOUNTS IN MILLIONS								
	2026	2027	2028	2029	2030	THEREAFTER	TOTAL ⁽¹⁾	FAIR VALUE
Fixed-rate debt	\$ 522	\$ 300	\$ —	\$ 750	\$ 750	\$ 1,935	\$ 4,257	\$ 4,242
Weighted average interest rate	6.26%	6.95%	—%	4.00%	4.00%	5.40%	5.12%	N/A
Variable-rate debt ⁽²⁾	\$ —	\$ —	\$ 1,050	\$ —	\$ 300	\$ —	\$ 1,350	\$ 1,350
(1) Excludes \$35 million of unamortized discounts and capitalized debt expense.								
(2) As of December 31, 2025, the weighted average interest rate for our variable-rate debt was 5.05%, excluding estimated patronage refunds and the impact of interest rate swaps.								

In 2025, we entered into interest rate swaps with the risk management objective of managing exposure to interest rate volatility by converting variable rate debt obligations associated with our new \$800 million term loan into fixed rate payments. The interest rate swaps provide the right to make fixed rate payments to the counterparty in exchange for variable, SOFR-based payments on a monthly settlement schedule. As of December 31, 2025, our interest rate swap agreements with an aggregate notional amount of \$800 million were designated as cash flow hedging instruments of variable, SOFR-based interest payments on our \$800 million term loan. No comparable activity was present as of and for the year ended December 31, 2024.